

UNITED KINGDOM 2014

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1. Overview of the tax-benefit system

Within the United Kingdom, Jobseeker's Allowance is the main benefit for those out of work. Jobseeker's Allowance is made up of two parts, a contributory benefit based on insurance contribution payment and an income-based part which is not based on insurance payment. Employment and Support Allowance is awarded on the grounds of incapacity. There is also Income Support, a general means-tested benefit for those with low income who are unable to work. In addition there are a number of specific means-tested benefits: Housing Benefit, the Working Tax Credit and Child Tax Credit (CTC). Council Tax support (a help towards local property-based tax) is administered by local authorities. There is also a universal Child Benefit for people with children. The direct tax system consists of a central government income tax and a council tax.

In the 2014 model, eligibility for Universal Credit is not yet assumed or modelled.

A cap on the amount of benefit that could be paid was introduced from April 2013. The benefit cap restricts the amount that claimants may receive in benefits to GBP 500 per week (for couples and people with children); or GBP 350 per week (for single people). Certain groups are excluded from the benefit cap – including those claiming disability benefits or working sufficient hours to be entitled to Working Tax Credit.

1.1. Average Worker wage (AW)

In 2014, the Average Worker is estimated to earn GBP 35 632.64 (Secretariat estimate).

2. Unemployment insurance

Overview of the unemployment insurance scheme (see Chapter 2 for more details):

Program name (local name)		Jobseeker's Allowance (contribution-based)
Insurance is voluntary(V) or compulsory(C) for employees		C
Employment record (E) and contribution (C) conditions		C: 12 months in 24
Waiting period (days)		3
Maximum duration (months)		6
Up-rating mechanism of the benefit		JSA (contribution based) was uprated by 1 per cent in 2014/15 in accordance with legislation (the Welfare Benefits Up-rating Act 2013). It will also be uprated by 1 per cent in 2015/16.
Calculation of unemployment insurance benefit:	initial benefit as % of calculation base	weekly flat rate of GBP 72.40 (10.6% of AW on annual basis)
	benefit at the end of legal entitlement period in % of calculation base	weekly flat rate of GBP 72.40 (10.6% of AW on annual basis)
	Calculation base(1)	--
	Permitted employment and disregards when receiving unemployment insurance benefit	Working less than 16 hours a week: GBP 5 disregard per week, earnings above reduce benefit by the same amount; Working more: full withdrawal of benefit
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: - for 16 to 24 year olds
	family situation	via tax credit system
	contract type	0
	other	0

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

Overview of employment-conditional benefits within the unemployment insurance scheme (see Section 2.2 2 for more details):

Program name (local name)		Jobseeker's Allowance (contribution-based) means test
Type of employment-conditional benefit		Lower benefit withdrawal rate
Beneficiaries of employment-conditional benefit		Jobseeker's Allowance recipient (contribution-based)
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Up-rating mechanism of the benefit		JSA (contribution based) was uprated by 1% in 2014/15 in accordance with legislation (the Welfare Benefits Up-rating Act 2013). It will also be uprated by 1 per cent in 2015/16.
Benefit calculation(1)	Income assessment unit(2)	Net
	(Maximum) benefit amount	Working less than 16 hours a week: GBP 5 disregard per week, earnings above reduce benefit by the same amount; Working more: full withdrawal of benefit
	Phase-in rate	--
	Phase-out rate	--

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

2.1 Conditions for receipt

Jobseeker's Allowance (JSA) can be paid to claimants who are unemployed and looking for full-time work. JSA is available for men and women aged 18 or older but below State Pension Age. There are some exceptions for individuals aged 16 and 17. They must have entered into a Jobseeker's Agreement and must be capable of, available for and actively seeking work as an employee or as self-employed. For more information please see:

<https://www.gov.uk/jobseekers-allowance/eligibility>

There are two main types of JSA. JSA (contribution-based) is paid to those who satisfy the national insurance contribution conditions. JSA (income-based) is paid to those whose, including their partner's, income and capital is below a certain amount (section 3).

To qualify for JSA, jobseekers must be available for work – for most people available is taken as meaning that they must be willing and able to take up work immediately. There are some exceptions to the requirement to be able to take up work immediately e.g. carers, volunteers and persons providing a service.

In some situations jobseekers can restrict their availability. However, they must have reasonable prospects of getting work unless the restrictions are reasonable in view of their physical or mental condition, or if they are a Lone Parent who restricted their availability to that of their child's normal school hours.

Jobseekers must also be actively seeking work. To be actively seeking work jobseekers must take, in each benefit week, such steps as they can reasonably be expected to take in order to have the best prospects of securing employment..

Employment related sanctions

A jobseeker's JSA may be sanctioned if they:

- lose a job because of misconduct; or
- leave a job voluntarily without good reason; or
- refuse to accept or fail to keep to their 'claimant commitment'; or
- fail to apply for or accept a job without good reason; or
- neglect to avail themselves of a job without good reason.
- fail to attend an interview

Training scheme and employment programme-related sanctions

If attendance on a training scheme or employment programme is compulsory, jobseekers can be sanctioned if they:

- lose their place because of misconduct; or
- give up or fail to attend the scheme or programme without good reason; or
- are notified of a place on a scheme or programme and fail to apply for or accept it when offered to them without good reason; or
- fail to participate or undertake any activity mandated by the scheme provider; or
- neglect to avail themselves of a reasonable opportunity of a place without good reason.

If JSA is sanctioned:

- the length of time for which it is sanctioned is fixed up to a maximum of 156 weeks (approximately 3 years) depending on the reason for the sanction and the number of previous sanctions of the same level. During the sanction period JSA is usually not paid or is paid at a reduced rate;
- special rules apply for 16 or 17 year olds;
- if a jobseeker disagrees that they should be sanctioned, or with the sanction period, they can challenge the decision;
- jobseekers may be able to get hardship payments.

2.1.1 Employment conditions

Recipients of JSA (contribution-based) must be out of work or working less than 16 hours a week.

2.1.2 Contribution conditions

JSA (contribution-based) is a personal benefit paid to unemployed people who have paid sufficient National Insurance contributions in the last two full tax years before the benefit year in which they make their JSA claim.

Sufficient means:

- contributions paid in one of the 2 tax years on which the claim is based amounting to at least 26 times the minimum weekly contribution for that year [earnings above the minimum are disregarded, effectively meaning that the person will have to have been employed for at least 26 weeks – though not necessarily continuously]; and
- contributions paid or credited in both the appropriate tax years amounting to a total of at least 50 times the minimum contribution for that year.

Payment of Class 1 and, in some circumstances, Class 2 National Insurance contributions gives rise to an ‘earnings factor’ which is used to calculate entitlement to contributory benefits. For Class 1 contributions the earnings factor is the amount of earnings, excluding those above the upper earnings limit (UEL) upon which contributions have been paid. The minimum rate at which an individual is deemed to have made a contribution is the lower earnings limit (LEL) 111 GBP in 2014/15. For claims dated on or after 1 November 2010 earnings above the LEL are disregarded when determining the first contribution condition.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

JSA contribution-based is payable at the rate of GBP 72.40 per week for a single person aged 25 and over or GBP 57.35 per week for those aged 16-24. This is a personal benefit and does not include an amount for partners or children (support for the latter is through the tax credits system – see section 8).

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

JSA contribution-based may be reduced penny for penny in respect of earnings over certain limits - normally GBP 5 a week, but GBP 20 for some special occupations. The benefit is also reduced on account of occupational or personal pensions of more than 50 GBP per week gross.

2.3 *Tax treatment of benefit and interaction with other benefits*

JSA contribution-based is taxable.

2.4 *Benefit duration and waiting periods*

Jobseeker's Allowance is payable for as long as a jobseeker meets the conditions of entitlement, except for the first 3 days¹ of benefit in a new award which are known as 'waiting days'. JSA claimants are exempt from waiting days in certain cases, for example, if the claim is made within 12 weeks of the end of a previous award,'.

JSA contribution-based is payable for up to 182 days in any one jobseeking period, which may be more than one award of JSA provided the break in entitlement is less than 12 weeks. The entitlement to 182 days of JSA contribution-based once exhausted cannot be re-used for a subsequent claim that relies on contributions made in the same two tax years.

Once the period of contribution-based JSA has been exhausted a jobseeker may continue to receive income-based JSA (section 3), providing they continue to meet the conditions of entitlement and their income and capital is low enough.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

People aged 16 or 17 are eligible to claim JSA (Contribution based) but are unlikely to have paid enough contributions to qualify. They may be able to claim JSA (income-based).

¹ Waiting period is extended from 3 days to **7 days** on 27 October 2014 for new claimants

3. Unemployment assistance

Overview of the unemployment assistance scheme (see Chapter 3 for more details):

Program name (local name)		Jobseeker's Allowance (income-based)
Employment record (E) and contribution (C) conditions and relationship to unemployment insurance benefits (UI)		E + C: 0
Waiting period (days)		3
Maximum duration (months)		No limit
Up-rating mechanism of the benefit		JSA (income based) uprated by 1% in 2014/15 and 2015/16 in accordance with legislation (the Welfare Benefits Up-rating Act 2013)
Calculation of unemployment assistance benefit:	initial benefit as % of calculation base	weekly flat rate of GBP 72.40
	benefit at the end of legal entitlement period in % of calculation base	same as initial benefit
	Calculation base(1)	--
	Permitted employment and disregards when receiving unemployment assistance benefit	GBP 5/10/20 are disregarded per week for a single/couple/lone parent, earnings above reduce benefit by the same amount; working less than 16 hours a week
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: - for 16 to 24 year olds, E: + for young lone parent (>17)
	family situation	see age condition
	contract type	0
	other	0

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

Overview of employment-conditional benefits within the unemployment insurance scheme (see Section 3.2 2 for more details):

Program name (local name)		Jobseeker's Allowance (income-based) means test
Type of employment-conditional benefit		Lower benefit withdrawal rate
Beneficiaries of employment-conditional benefit		Jobseeker's Allowance recipient (income-based)
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Up-rating mechanism of the benefit		JSA (income based) was uprated by 1% in 2014/15 in accordance with legislation (the Welfare Benefits Up-rating Act 2013). It will also be uprated by 1 per cent in 2015/16.
Benefit calculation(1)	Income assessment unit(2)	Net
	(Maximum) benefit amount	GBP 5/10/20 are disregarded per week for a single/couple/lone parent, earnings above reduce benefit by the same amount; working less than 16 hours a week
	Phase-in rate	--
	Phase-out rate	--

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

3.1 *Conditions for receipt*

This section covers JSA (income-based) - see section 2.1 for the main entitlement conditions.

3.1.1 *Employment conditions*

Recipients must be out of work or working less than 16 hours a week on average. Their partners must be out of work or working less than 24 hours per week on average.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Income-based Jobseeker's Allowance is assessed as the difference between the claimant's "applicable amount" and income. There are capital limits – broadly capital over GBP 6000 affects the amount of benefit paid, and benefit is not paid to people with capital over GBP 16000. The applicable amount consists of personal allowances and specified premiums (these allowances and premiums are the same for income-based Jobseeker's allowance (JSA[IB]), income support (IS) and housing benefit (HB) (see table). Slightly different rules apply to Employment and Support Allowance (ESA).

Family type	Rates of applicable amount (in GBP per week)
Personal allowance	
Single	
16-24	57.35
25 and over	72.40
Lone parent	
16-17	57.35
18 or over	72.40
Couple (both 18 or over)	113.70

There are further premiums for other specific circumstances, *e.g.* disabilities and caring responsibilities.

3.2.1.1 *Irregular additional payments*

Cold Weather payments, detailed in section 4.2.1.1 may be payable for some Jobseekers Allowance recipients.

3.2.1.2 *Obligations of family members*

Members of a couple where at least one of the couple is aged 18 or over; and, neither member of the couple is responsible for a child or young person, are required to make joint claims to income-based JSA. Both members of the joint claim are required to satisfy the conditions for receipt of JSA unless one member fits into an exempt group. In certain circumstances a member of a couple may still be able to receive JSA even if their partner has not made a joint claim with them.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

JSA (income-based) is reduced by capital over GBP6000 – a tariff income is assumed at a rate of £1 for every £250, or part £250, by which capital exceeds GBP6000. No benefit is payable if capital exceeds GBP16000.

Weekly earnings disregards are GBP 5 for a single person; GBP 10 for couples; and GBP 20 for certain special groups and occupations. Most other forms of income, including occupational pensions and most other social security benefits, reduce JSA on a penny-for-penny basis. However, some benefits, such as Housing Benefit, Child Tax Credit and Disability Living Allowance are fully disregarded.

3.3 *Tax treatment of benefit and interaction with other benefits*

Income-based JSA is taxable up to certain limits. Payment of income-based JSA generally conveys entitlement to full Housing Benefit without the need for a separate means test, although there are some specific exceptions².

3.4 *Benefit duration and waiting periods*

Paid as long as the conditions are fulfilled, after a 3-day³ waiting period.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

The minimum age for eligibility to income-based JSA is normally 18, but JSA can be paid to 16 and 17 year olds in special cases (for example, if they are estranged from parents), or under special hardship rules.

3.5.2 *Older workers*

Older people can continue to receive JSA until State Pension age.

² From April 2014, some EU jobseekers may be entitled to JSA(IB), but not have any corresponding entitlement to HB

³ Waiting period is extended from 3 days to **7 days** on 27 October 2014 for new claimants

4. Social assistance

The main out of work benefits are Jobseeker's Allowance, Employment and Support Allowance and Income Support (for those not required to be available for work). These benefits are designed to provide financial help to those whose net income falls below a set minimum level. In addition there are a number of other means-tested benefits/tax credits, as follows:

- Council Tax Support: help towards the tax raised by local authorities. Eligibility for this support is determined by each individual local authority.
- Housing Benefit (see Section 5).
- Working Tax Credit and Child Tax Credit (see Section 8).
- Various benefits for the sick and disabled and the Social Fund which are outside the scope of this study.

Overview of the basic Social Assistance policy (see Chapter 4 for more details):

Program name (local name)		Income Support
Age condition for social assistance receipt		16 and over
Legal behavioural requirements ⁴	Registration as unemployed(1)	No
	Participation in integration measures	No
	Active job search(1)	No
	Work requirement(1)	No
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))	No
	Legal behavioural requirements for adult family members other than the benefit claimant	None
Determination of benefit levels		National
Up-rating mechanism of the benefit		Income Support was uprated by 1% in 2014/15 in accordance with legislation (the Welfare Benefits Up-rating Act 2013). It will also be uprated by 1 per cent in 2015/16.
Other supplements to basic benefit (per family)		None

⁴ Legal behavioural requirements are applicable to Income Support specifically. This does not apply to wider Social Assistance schemes that may be available.

Means-test for social assistance	Earnings disregards	GBP 5/10/20 are disregarded per week for a single/couple/lone parent, earnings above reduce benefit by the same amount; working less than 16 hours a week
	Benefit withdrawal rate with regard to earned income	100%
	Assets included in means test?	Yes
	Other benefits included in the means test	Occupational pensions and most other social security benefits included
Benefit provision (eligibility (E), generosity (G)) varies with	age	G: (-) for 16 to 24 year olds, E: (+) for young lone parent (>17)
	family situation	0
	over time	0
	other	--

Notes:

1. Conditions for working-age individuals.

Overview of employment-conditional benefits within the social assistance scheme⁵ (see Section 4.2.2 for more details):

Program name (local name)		Income Support
Type of employment-conditional benefit		Lower benefit withdrawal rate
Beneficiaries of employment-conditional benefit		Income support recipient in work, but working less than 16 hours per week
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No
	Child-based condition	No
	Influence of number of children on benefit amount	No
	Working hour criterion	No
	Transition criterion	No
	Minimum earnings criterion for eligibility	No
Up-rating mechanism of the benefit		As above for Income Support
Benefit calculation(1)	Income assessment unit	Net
	(Maximum) benefit amount	GBP 5/10/20 are disregarded per week for a single/couple/lone parent, earnings above reduce benefit by the same amount; working less than 16 hours a week
	Phase-in rate	--
	Phase-out rate	--

Notes:

1. Gross = gross employment income; SSC = (employee) social security contributions; Net = Gross minus income taxes minus SSC.

4.1 *Conditions for receipt*

Income Support is a means-tested benefit payable to people of working age who are not expected to be available for work, for example, full-time carers and lone parents of children aged under 5. Persons with savings or capital above GBP 16000 are not eligible; the first GBP 6000 of savings are ignored and a weekly income is assumed from savings of

⁵ Description of component of Income Support that is applicable to those with low incomes. This is not a separate benefit.

between GBP 6000 and GBP 16 000. The first GBP 10 000 of savings are ignored for people living in residential care or nursing homes.

4.1.1 *Employment conditions*

Income Support recipients must (with a few exceptions) be unemployed or working less than 16 hours per week (24 hours per week for partners).

4.1.2 *Contribution conditions*

None.

4.2 *Calculation of benefit amount*

4.2.1 *Calculation of gross benefit*

Family type	Rates of applicable amount (in GBP per week)
Personal allowance	
Single	
18-24	57.35
25 and over	72.40
Lone parent	
18 or over	72.40
Couple (both 18 or over)	113.70
Child	Nil ¹

1. For new applicants this support is provided through Child Tax Credit (see section 8). From April 2004, customers making new claims to JSA or IS have not received financial support for their children through JSA or IS.

There are further premiums for other specific circumstances, *e.g.* disabilities, caring responsibilities.

Income Support is the difference between the applicable amount and the claimant's income. The applicable amount consists of personal allowances, premiums and some housing costs (see table).

The income consists of the net earnings and other income of the claimant and partner, subject to some disregards and deductions (including deduction for cost of childcare).

4.2.1.1 *Irregular additional payments*

Some recipients of Income Support, income-based Jobseeker's Allowance or income-related Employment and Support Allowance may be eligible for a Cold Weather Payment for each qualifying week when the average temperature where they live is recorded as, or forecast to be, zero degrees Celsius or below over seven consecutive days during the period from 1 November to 31 March. In 2013/14, the Cold Weather Payment was £25 for each qualifying week. This remains unchanged for 2014/15.

4.2.1.2 *Obligations of family members*

None.

4.2.2 *Income and earnings disregards for benefit recipients*

Weekly earnings disregards are GBP 5 for a single person, GBP 10 for couples and GBP 20 for certain other groups, such as lone parents and disabled people, and certain special occupations. Income other than earnings, including most other social security benefits, are normally taken fully into account and reduce benefit penny for penny. However, some benefits, such as Housing Benefit, Child Tax Credit and Disability Living Allowance are fully disregarded.

4.3 *Tax treatment of benefit and interaction with other benefits*

Income Support is not taxable. Payment of Income Support conveys entitlement to full Housing Benefit without the need for a separate means test.

4.4 *Benefit duration and waiting periods*

Paid as long as the conditions are fulfilled.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

Income Support is paid to young people aged 16 or over only if they meet the necessary conditions.

4.5.2 *Older worker, carers, disabled/sick people*

Since October 2003 people over the State Pension Credit qualifying age must claim State Pension Credit rather than Income Support. The Pension Credit combines an Income Guarantee with a Savings Credit payable to those 65+ to reward those who have saved. There are also additional premiums for disabled people and carers.

4.5.3 *Others if applicable*

5. Housing benefits for rented accommodation

Housing Benefit is a means-tested benefit, which provides help with paying the rent for private or public housing for people on low income.

Overview of housing benefits (further detail follows in chapter):

Regular housing benefits	Program name (local name)		Housing benefit (Local Housing Allowance is assumed in the Tax Benefit Model)
	Entitlement depends on	Household type/size	Yes
		Income	Yes
		Dwelling size	No
		Geographic location	Yes
		Actual rental cost	Yes
	Description of regular housing benefit		Benefit is paid on "eligible rent" which may differ from contractual rent. Benefit is rent less 65% of difference between net resources and social assistance rates. For those on social assistance, benefit amounts to "eligible rent". Social assistance rates include additional amounts for dependent children.
	Up-rating mechanism of the benefit		Housing Benefit social assistance rates (for those under pension age) were generally uprated by 1 % in 2014/15 in accordance with legislation (the Welfare Benefits Up-rating Act 2013). They will also be generally uprated by 1 per cent in 2015/16. Housing Benefit entitlement is also dependent on eligible rent levels. From April 2014, eligible rent levels for Local Housing Allowance recipients were generally increased by 1 per cent, and will also generally increase by 1 per cent from April 2015.
Housing related support through other benefits		Support may be provided to homeowners	

5.1 Conditions for receipt

Persons with capital above GBP 16 000 are not usually eligible. The first GBP 6 000 of capital is ignored. For capital between GBP 6 000 and GBP 16 000, a notional income is taken into account. However a lower capital limit of GBP 10 000 generally applies where the claimant or their partner have reached the qualifying age for State pension Credit.

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

For people not receiving Income Support, income-based Jobseeker's Allowance, income-related Employment and Support Allowance or the guarantee element of State Pension Credit, Housing Benefit is the eligible rent minus 65 per cent of the difference between net resources and the applicable amount. For all other claimants, Housing Benefit is

the full amount of eligible rent. In both cases a deduction may be made in expectation of a contribution towards the rent from a non-dependent adult living in the same household. This contribution depends on their age, whether they are working and their gross income. If the Housing Benefit formula gives a value below 50 pence/week, no payment is made.

Eligible rent is the rent on which Housing Benefit entitlement is calculated. Eligible rent may differ from the contractual rent. This may happen, for example, if the contractual rent includes ineligible services or is deemed to be excessive (either for the property in question or relative to other rents in the area) or if the size of the property is excessive relative to the claimant's needs. In the private rented sector in England these rent determinations are made by the Valuation Office Agency. The Rent Service in Scotland and Rent Officers in Wales have jurisdiction in these areas.

The Local Housing Allowance (LHA), which is part of Housing Benefit rather than a separate benefit in its own right, commenced national roll-out on 7 April 2008. LHA applies to the majority of customers in the deregulated Private Rented Sector who make a new claim for Housing Benefit, or to existing customers who change address in the private rented sector.

LHA is a way of calculating the rent element of Housing Benefit, based on the area in which a customer lives and household size.

LHA is paid (in most circumstances) to the tenant rather than to the landlord. Previously tenants were able to keep any excess benefit up to a maximum of GBP15 per week that was over and above their contractual rent. However regulations have removed the availability of the GBP 15 weekly excess since April 2011.

Under the LHA, the criteria used to determine the appropriate size of property for a household have been simplified and are based on the number of bedrooms, rather than bedrooms and living rooms up to a maximum of four bedrooms. This is to ensure they are easier to apply and understand, and better reflect the way in which properties are advertised in the private rented sector.

Following reforms to Housing Benefit from 1 April 2011, LHA rates were set at the 30th percentile of the market rent in an area for accommodation of a given size rather than at the median rate. This meant that, typically, about three in ten properties in the private rented sector were affordable to people in receipt of Housing Benefit. As part of the preparation for the Local Housing Allowance being uprated by CPI (rather than tracking market rents on a monthly basis), Local Housing Allowance rates were frozen at the April 2012 rates and then uprated by CPI in April 2013.

The rate of LHA for which a claimant will qualify will depend on the number of occupiers and the area in which they live. The size criteria determine the appropriate number of bedrooms for which the occupiers qualify - for example, allowing one bedroom for a single person or a couple - rather than taking account of an individual's circumstances. From 6 April 2009, LHA rates were capped at the five-bedroom level for all new customers and those who moved address. However, from April 2011, the five-bedroom LHA rate was removed so that the maximum level now relates to a four-bedroom property.

There will be situations where an individual's circumstances might require larger accommodation than the size criteria would allow, and they may consequently face a shortfall in their ability to meet their rent as a result. In such cases (and in others where there is a shortfall), the local authority has a discretionary power to consider the award of Discretionary Housing Payments which can address an individual's specific accommodation needs where necessary. As this is a discretionary scheme it is for the local authority to decide whether and how much should be awarded in any particular case and how long the award should last; neither Ministers nor officials of DWP can interfere in this process. Whilst these are decisions

made by the local authorities DWP has previously provided authorities with guidance to help with their local decision making.

From 1 April 2013, Council Tax Benefit (a national benefit providing help towards local tax) was abolished; and Council Tax support was localised. Each local authority now determines their own eligibility criteria, and can cover up to the full amount of Council Tax liability through Council Tax support.

5.2.2 *Income and earnings disregards*

Earnings Disregards are GBP 5 for a single person; GBP 10 for a couple; GBP 20 for some disabled and GBP 25 for a lone parent. Certain incomes other than earnings, paid for a special reason (*e.g.* to meet the cost of disability) may be disregarded in part or in full. Net income for calculation purposes are defined as gross earned income after tax and social security contributions, plus most other unemployment/social security benefits and Tax Credits, and other unearned income.

A housing benefit disregard for tax credits was introduced from the 2001-02 tax year (initially equivalent to the 30 hour premium in Working Families Tax Credit [WFTC]). The HB disregard for tax credits for 2013-14 and 2014-15 was 17.10

Note: Housing Benefit is fully disregarded when local authorities carry out means test.

5.2.3 *Costs eligible for housing benefit*

Examples of LHA rates depending on the number of occupiers and the area in which they live (for 2014, see: <https://lha-direct.voa.gov.uk/search.aspx>):

Central London Broad Rental Market Area	LHA rates (July 2014)
1 Bedroom	258.06
2 Bedrooms	299.34
3 Bedrooms	350.95
4 Bedrooms	412.89
 Hull & East Riding Broad Rental Market Area	
1 Bedroom	69.23
2 Bedrooms	86.23
3 Bedrooms	103.85
4 Bedrooms	132.86
 Maidstone Broad Rental Market Area	
1 Bedroom	122.36
2 Bedrooms	151.50
3 Bedrooms	178.66
4 Bedrooms	233.08

However, from April 2011:

- the five bedroom Local Housing Allowance rate was removed so that the maximum level is for a four bedroom property
- absolute caps were introduced so that Local Housing Allowance rates cannot now exceed:
 - £258.06 for a one bedroom property,

- £299.34 for a two bedroom property,
- £350.95 for a three bedroom property,
- £412.89 for a four bedroom property.

5.3 *Tax treatment of benefit and interaction with other benefits*

Both Housing Benefit and Council Tax support are non-taxable.

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

For Housing Benefit, the same personal allowance of GBP 57.35 applies to a single person aged less than 25 or a lone parent aged less than 18, whilst the personal allowance for a couple with at least one aged 18 or over is GBP 113.70.

5.4.2 *Older workers*

There are higher applicable amounts for those who have reached the qualifying age for state pension credit: the weekly rates are GBP 148.35 for a single person under the age of 65 and GBP 165.15 if aged 65 or over, and GBP 226.50 for a couple where both are under the age of 65 and GBP 247.20 where one or both partners are aged 65 or over. As for income support, there are also additional premiums for disabled people and carers.

5.4.3 *Homeowners*

Housing Benefit cannot be claimed by people who are owner occupiers (unless they part own and part rent). Help is provided towards mortgage interest payments (known as Support for Mortgage Interest) paid as part of Income Support, income-based Jobseeker's Allowance, income related Employment & Support Allowance and State Pension Credit.

Help is provided for loans taken out to purchase the property and specific loans for repairs and improvements to maintain the property as fit for habitation. Help is available towards certain other housing costs such as ground rent paid under a long tenancy and certain service charges.

Benefit help is given towards the interest on a mortgage/loan for repairs and improvements and is calculated using a standard interest rate (SIR). From December 2004, the SIR was calculated using the Bank of England Base Rate plus 1.58%. Changes were implemented when the Bank of England amended its base rate. No help is provided towards arrears, endowment policies or capital repayments.

Help is provided from the outset of a claim for customers in receipt of State Pension Credit.

Waiting periods apply for those in receipt of Income Support, income-based Jobseeker's Allowance and income-related Employment & Support Allowance. Customers with a loan taken out prior to 2 October 1995 – receive no help for the first 8 weeks of their claim, 50% of eligible interest for a further 18 weeks and 100% of their eligible mortgage interest from week 27. A customer is deemed to have “existing housing costs” in this situation.

Customers with a mortgage taken out after 2 October 1995 receive no help for the first 39 weeks and 100% of their eligible mortgage interest from week 40.

However, since 5 January 2009, the waiting period for new claimants in both groups has been temporarily reduced to 13 weeks.

Restrictions

Help with interest payments is limited to the interest on the outstanding capital of up to GBP100,000 (although temporarily up to £200,000 for new working age claims from 5 January 2009). The only exception to the rule is where a home improvement loan is needed to make the existing property suitable for a disabled member of the household.

Generally no help can be provided where a loan has been taken out when a customer is in receipt of benefit. Help can only be provided when certain specific conditions are met.

Mortgage Interest Direct

The Mortgage Interest Direct (MID) Scheme was set up in 1992 following consultation with the Council of Mortgage Lenders. It was decided that payments of mortgage interest would be made direct to the lender to reduce the threat of repossession for those on income related benefits.

Customers who receive help towards their housing costs through Income Support, income-based Jobseeker's Allowance, income-related Employment & Support Allowance or Guarantee element of State Pension Credit normally have their mortgage interest element paid direct to their lender.

Customers in receipt of Savings Credit element only of State Pension Credit can opt to have their payments made direct.

Changes to the rules for Support for Mortgage Interest were made from January 2009.

As a response to the economic downturn, on 2 September 2008, the then Government announced a £1 billion package of measures to help vulnerable householders at risk of losing their property, first time buyers, and the house building industry. These included the temporary Support for Mortgage Interest changes outlined above (a shorter waiting period and higher outstanding capital limit). These are still currently in place.

The SMI changes were brought forward from their original planned introduction date of April 2009 to 5 January 2009, to ensure that help reached people as soon as possible during the economic downturn.

From 5 January 2009 regulations made the following changes to housing cost provisions in Income Support, income-based Jobseeker's Allowance and income-related Employment & Support Allowance customers.

- The capital limit for loans doubled to £200,000 for new working age customers in receipt of benefits listed above;
- The waiting period for new working age customers reduced from 26 or 39 weeks to 13 weeks from 5 January 2009;

- A 2 year time limit for SMI was introduced for income-based Jobseeker's Allowance (JSA) claims only;
- The Support for Mortgage Interest (SMI) changes also helped existing customers in receipt of a relevant benefit (Income Support, Jobseekers Allowance and Employment & Support Allowance) at 4 January who were in a waiting period for housing costs;
- The SMI changes are intended to help people over the potentially difficult labour market problems they face and help limit repossessions.

Following a period when the Standard Interest Rate (SIR) had been fixed at 6.08% because of the rapid fall in the Bank of England Base Rate during the recession, from 1 October 2010 a new method for calculating the SIR was introduced. This new SIR was used to calculate allowable mortgage interest on all new, existing and repeat claims from 1 October 2010.

The SIR is set at a level based on the Bank of England's published monthly average mortgage rate. The SIR will only change if the difference between the Bank of England's published average mortgage rate and the current SIR is at least 0.5%. The new SIR when introduced, (and as at July 2014) was 3.63%. At the time of writing it remains 3.63%.

6. Family benefits

Overview of family and lone parent benefits (for greater detail refer to Chapters 6 and 8):

Program name (local name)			Family benefit (Child Benefit)	Child Tax Credit
Type of benefit			Universal, but off-set by tax charge for high-income families	Non-wastable tax credit, means-tested benefit
Eligibility criteria	Age limits for children (in parentheses if student)		15 (19)	15 (19)
	Other conditions for receipt of benefit (including requirements for conditional cash transfers (CCT))		Must be “responsible” for the child or young person who: - lives with them; or - they contribute to the cost of providing for the child up to the equivalent amount of the weekly Child Benefit for that child	Must be “responsible” for the child or young person who: - normally lives with them
Up-rating mechanism of the benefit			Annual (no specific rate for up-rating)	Annual (no specific rate for up-rating)
Benefit amount	Benefit amount per child varies with (where +: increase; -: decrease; 0: no change; +/-: decrease or increase)(1)	Age of child	0	0
		Number of children	(-) GBP 20.50 per week for the first child, 13.55 for subsequent children	(+) Maximum amount payable before income test applied (annual amounts): - GBP 545.00 (‘family element’ one award per family) - GBP 2,750 (‘child element’ payable for each child) - GBP 3,100 (‘disabled child element’ payable for each disabled child – in addition to the child element) - GBP 1,255 (‘severely disabled child element’ payable for each severely disabled child, in addition to the child and disabled child elements)

Means test	Earnings part of means test?	No, but high income child benefit charge for recipients with income above GBP 50 000	Yes
	Earnings disregard	--	Income test applied to both tax Working Tax Credit and Child Tax Credit amounts. Income disregard for Working Tax credit – GBP 6,420.00 per year and if Child Tax Credit only awarded GBP 16,010
	Withdrawal rate of the benefit	1% tax charge for each GBP 100 of income between 50 000 to 60 000, beyond 60 000 the amount of tax charge will equal the amount of Child Benefit ⁶	41%
	Assets part of means test?	No	No

Notes: 1. +: increase; -: decrease; 0: no change; +/-: decrease or increase "+/-": increases or decreases apply to countries that give higher rates to the youngest and oldest age groups.

6.1 *Conditions for receipt*

Child benefit is paid in respect of each child in the family under 16, or 19 if still in full-time non-advanced education. An additional family benefit, the Child Tax Credit, is detailed in section 8.

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

It is payable at the weekly rate of GBP 20.50 for the eldest child for whom benefit is payable and GBP 13.55 per week in respect of each other child.

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

Child Benefit is not subject to any means test. (But it is subject to a tax charge for those higher rate taxpayers earning in excess of GBP 50,000 from January 2013)

From January 2013, a new tax charge was introduced for a taxpayer who has income over GBP 50 000 and either they or their partner are in receipt of Child Benefit. For those with

⁶ Claimant can opt out of benefit receipt rather than pay tax charge

income between GBP 50 000 and GBP 60 000, the amount of the charge will be 1% of the Child Benefit for every GBP 100 of income over GBP 50 000. For those with income over GBP 60 000, the amount of the charge will equal the amount of Child Benefit. Claimants can keep receiving their Child Benefit payments and pay a tax charge, or stop receiving the payment benefits and not pay the charge.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. From 2 November 2009 Child Benefit income is wholly disregarded in Housing Benefit and Council Tax Benefit.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

Parents of 16 and 17 year olds who have just left school and who are registered for work education or on youth training schemes with their local careers service, Connexions (or a similar organisation in Northern Ireland, are also eligible for Child Benefit for up to 20 weeks from the week the young person left school, subject to other conditions being met.

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

Information on the number of childcare places available is not collected centrally, however information on the number of part-time early education places filled is shown below (information relates to England only).

Children enter primary school from age five though many start in the reception class of primary school at age four.

Numbers of three and four year olds benefiting from some free early education

In January 2013, the number of three and four year olds in England benefiting from some funded early education was 1,283,500 or 96 per cent of the three and four year old population.

(Source: DfE Provision for Children Under Five Years of Age in England: January 2013 (Statistical First Release SFR 23/2013))

Eligibility for free early education places

All 3 and 4-year-olds in England are entitled to 15 hours of free early education each week for 38 weeks of the year. Some 2-year-olds are also eligible. Once a child is 3 years old parents can start claiming free early education from either; 1st September, 1st January, or 1st April. For example; if a child was born on 15th February 2012, then they will become eligible for free early education from 1st April 2015.

The free early education can be at; nursery schools, nurseries on school sites, nursery classes in schools and academies, children's centres, day nurseries, some playgroups and pre-school, childminders, and sure start children's centres.

Source (Free early education, gov.uk, <https://www.gov.uk/free-early-education>)

7.1 Out-of-pocket childcare fees paid by parents

There are no official statistics available on the average fees paid by parents for childcare.

The following figures are based on a survey conducted by the Daycare Trust (national UK charity) in 2013. The information is compiled from a survey of Family Information Services in Great Britain. The figures in the table below are based on 25 hours a week childcare in a nursery or with a childminder and 15 hours a week at an out of school club

	Nursery (under 2)	Nursery (2 and over)	Childminder (under 2)	Childminder (2 and over)	Out-of-school Club (15 hours)
England average (GBP)	108.51	106.52	98.98	97.27	49.71
Scotland average (GBP)	101.19	94.35	93.22	92.92	50.46
Wales average (GBP)	92.36	90.49	95.61	95.02	48.46
Britain Average	106.38	103.96	98.15	96.67	49.67

Source: Childcare Costs Survey 2013 (Daycare Trust, March 2013)

7.2 Child-care benefits

The childcare element of Working Tax Credit is payable for the cost of “registered” or “approved” childcare. It can help with up to 70% of a family’s childcare cost subject to a maximum cost of £175 per week for one child and £300 per week for two or more children. This means that the maximum a family can receive is £122.50 a week for one child and £210.00 for two or more children. But the actual amount payable will depend on the household income.

7.2.1 Conditions for receipt

To claim the childcare element of Working Tax Credit, the claimant must be aged 16 or over. If the claimant is a lone parent, he or she must work 16 hours a week or more.

If a couple is claiming the childcare element, both members of the couple must work 16 hours a week or more. However, only one partner needs to work 16 hours a week or more if the other partner is incapacitated (i.e. that person receives a relevant benefit such as Disability Living Allowance or Personal Independence Payment etc), is an in-patient in hospital, is in prison or is entitled to Carer’s Allowance.

7.2.2 Calculation of benefit amount

See section 7.2 above

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

See section 8 on the Working and Child Tax Credits

7.2.3 Tax treatment of benefit and interaction with other benefits

See section 8 on the Working and Child Tax Credits

7.2.4 Treatment of particular groups

See section 8 on the Working and Child Tax Credits

8. Employment-conditional benefits

Working Tax Credit is an in-work means-tested benefit to top up the earnings of people on low-incomes, whether employed or self-employed, including those who do not have children. It also contains additional elements for those working with a disability or severe disability and for those workers who pay childcare costs to ‘registered’ or ‘approved’ childcare providers. (Child Tax Credit is the main way that families get money for their children. Child Tax Credit is payable in addition to Working Tax Credit and is payable regardless of whether the claimant is in work or not.)

Overview of employment-conditional benefits and family benefits through the tax system (for greater detail refer to Chapter 8):

Program name (local name)		Working Tax Credit	Child Tax Credit
Type of employment-conditional benefit		In-work means-tested benefit to top up earnings	Means-tested benefit
Beneficiaries of employment-conditional benefit		Working individuals	Parent(s)
Eligibility and calculation criteria	Time dependency of employment-conditional benefit	No	No
	Child-based condition	No	Yes
	Influence of number of children on benefit amount	No	Increasing with number of children
	Working hour criterion	A person must work a certain number of hours a week to qualify: Aged 25 to 59 - At least 30 hours; Aged 60 or over - At least 16 hours; Disabled - At least 16 hours; Single with 1 or more children - at least 16 hours; Couple with 1 or more children - Usually, at least 24 hours between them (with 1 of them working at least 16 hours)	No
	Transition criterion	No	No
	Minimum earnings criterion for eligibility	No	No
Uprating mechanism of the benefit		Annual (no specific rate for uprating)	Annual (no specific rate for uprating)
Benefit calculation(1)	Income assessment unit(2)	Gross family income	Gross family income
	(Maximum) benefit amount	GBP 4680 (13.1% of AW) for couple of lone parent	GBP 3 265 (9.2% of AW) for one child (family and

		working over 30 hours/week	child element)
	Phase-in rate	No	No
	Phase-out rate	41%	41%

8.1 *Conditions for receipt*

For Working Tax Credit, the employee must be working at least 16 hours per week (30 hours if aged 25 to 59 and does not have a child or a disability). However, from April 2012, couples with children will have to work for 24 hours a week between them with one partner working at least 16 hours. You do not need to be in work to receive the Child Tax Credit.

8.2 *Calculation of benefit amount*

8.2.1 Calculation of entitlement

The amount of Working Tax Credit payable depends on your household income. It is calculated by adding together the elements you are entitled to and then by reducing those elements by 41 pence for every GBP1 by which your gross household income exceeds the first income threshold of GBP 6,420 per year. Generally, gross income is defined as earned income plus all relevant benefits but before the deduction of income tax and social security contributions.

Where there is no entitlement to Working Tax Credit, Child Tax Credit is not reduced until household income exceeds GBP 16,010 per year (GBP 306.20 per week).

Note: Housing Benefit and Family Benefit are not considered for this income test.

No payment is made if the formula gives a value below 50 pence/week.

Family type	Rates of credits (in GBP per year)
WTC Elements	
Basic Element	1940
Second Adult Element	1990
Lone Parent Element	1990
30 Hour Element	800
Disability Element	2935
Severe Disability Element	1255
CTC Elements	
Family Element (the basic element)	545
Child Element	2750
Disabled Child Element	3100
Enhanced Disabled Child Element	1255

If Child Tax Credit is claimed without Working Tax Credit then Child Tax Credit is reduced by 41p for every GBP1 of take-home pay in excess of the first income threshold of 16,010 per year (GBP 306.20 per week).

In addition parents can receive 70 per cent of the actual childcare cost per week, up to a maximum childcare cost of GBP 175 per week if one child, GBP 300 per week if two or more children.

8.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

8.4 *Benefit duration*

Paid as long as the conditions are fulfilled.

8.5 *Treatment of particular group*

8.5.1 Young persons

CTC payable in respect of a child under age 16 or under age 20 if they are in full time non-advanced education or in approved training.

8.5.2 Older workers

As outlined in the table in section 8 above, a person who is not responsible for a child or qualifying young person, who is aged 60 or over and who works at least 16 hours a week can claim the Working Tax Credit.

8.5.3 Others if applicable

9. Lone-parent benefits

Lone parents not in work are eligible for specific rates of Jobseeker's Allowance (see section 3) or Income Support (see section 4). If working, they may be eligible for Working Tax Credit if their earnings are low (see section 8). Entitlement to these benefits is not affected by any alimony or "child support" payments received from the absent parent.

9.1 *Conditions for receipt*

See sections 3 and 4

9.2 *Calculation of benefit amount*

9.2.1 See calculation of gross benefit for Working Tax Credit.

9.2.1.1 *Irregular additional payments*

9.2.2 Income and earnings disregards

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

10. Tax system

10.1 Income tax

Income Tax consists of a central government income tax. Social security contributions are also paid. Council Tax was abolished from April 2013.

10.1.1 Tax allowances and credits

- Basic Relief: a personal annual allowance of GBP 10,000 is granted to individuals born after 5 April 1948 with incomes below £100,000. The personal allowance is gradually withdrawn for those incomes above £100,000 at a rate of £1 of allowance lost for every £2 of income above £100,000. The gradual withdrawal of the personal allowance for those with incomes above £100,000 took effect from April 2010. For personal allowances for those born before 6 April 1948 please see section 10.4.2.
- Child Tax Credit: see Section 8 (Employment-conditional benefits).
- Working Tax Credit: see Section 8 (Employment-conditional benefits).
- Relief for social security contributions and other taxes: none.

10.1.2 The definition of taxable income

For the central government tax, it is simply the gross earnings minus the personal allowance and certain reliefs (such as loss relief and pension contributions paid gross).

10.1.3 The tax schedule

In 2014-15 all taxpayers are liable on taxable income other than savings and dividend income at the basic rate of 20 per cent on the first GBP 31,865, a higher rate of 40 per cent over the basic rate limit of GBP 31,865 up to GBP 150,000, and an additional rate of 45 per cent over GBP 150 000. (Taxable Income is defined as gross income for income tax purposes less allowances and reliefs available at the marginal rate.) Dividend income is charged at 10 per cent up to the basic rate limit of GBP 31,865, 32.5 per cent above GBP 31,865 to GBP 150,000 and 37.5 per cent above GBP 150 000. Savings income is charged at 10 per cent up to the starting rate limit on the first GBP 2,710, at 20 per cent up to GBP 31,865, 40 per cent above GBP 31,865 to GDP 150,000 and 45 per cent above GBP 150 000.

Taxable income (GBP)	Rate %
0 – 31 865	20
31 865 – 150 000	40
Over 150 000	45

There are currently no regional or local income taxes. Instead, council tax is paid by the occupiers of domestic properties to local authorities. In England the amount of council tax a household pays is dependent on the valuation band of the property and the rate set by individual local authorities. Valuation bands are based upon the property value as of 1 April 1991, and set into eight bands. Rates are set by local authorities based on Band D, the ratio between each band are fixed as follows:

Property band	Value (GBP, as of 1 April 1991)	Tax rate relative to Band D
Band A	0-40,000	6/9
Band B	40,001-52,000	7/9
Band C	52,001-68,000	8/9
Band D	68,001-88,000	1
Band E	88,001-1200,00	11/9
Band F	120,001-160,000	13/9
Band G	160,001-320,000	15/9
Band H	Over 320,000	2

10.2 *Treatment of family income*

The tax unit is the individual.

10.3 *Social security contributions and payroll taxes*

10.3.1 Contributions payable by employees and benefit recipients

National Insurance contributions are payable by employees earning more than GBP 153 in any week. These are 12 per cent of earnings between GBP 153 and GBP 805 and 2 per cent of earnings above GBP 805 for employees not contracted out of the state second pension scheme (additional state pension which supplements the basic retirement pension). For employees who are contracted out, there is a rebate of 1.4 percent on earnings between GBP 111 and GBP 805. Depending on eligibility, members of the National Insurance scheme qualify for pensions, sickness, industrial injury, unemployment benefits, etc. All employees earning under GBP 153 per week have no National Insurance contribution liability but a notional contribution will be deemed to have been paid in respect of earnings between GBP 111 and GBP 153 to protect benefit entitlement.

10.3.2 Contributions payable by employers

Employer's contributions are not payable for employees earning less than GBP 153 per week. The rate of employers' contributions for employees not contracted out of the additional (earnings related) scheme is 13.8 per cent of earnings above GBP 153 per week. For employees who are contracted out, there is a rebate of 3.4 per cent on earnings between GBP 111 and GBP 805 per week.

10.3.3 Payroll taxes

10.4 *Treatment of particular group*

10.4.1 Young persons

None.

10.4.2 Older workers

The amount of the personal allowance is higher for people born before 6 April 1948, depending on their income (for 2014-15, this is £10,500 for those born between 6 April 1938

and 5 April 1948, and £10,600 for those born before 6 April 1938). The higher personal allowances are tapered away for those with income above £27,000, known as the income limit, until they reach the level of the personal allowance for those born before 6 April 1948 (£10,000 for 2014-15).

10.4.3 *Others if applicable*

Reference date for all information is **July 1st 2014**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

11. Part-time work

11.1 *Special benefit rules for part-time work*

None

11.2 *Special tax and social security contribution rules for part-time work*

None

12. Policy developments

12.1 Policy changes introduced from 2nd July 2013 – 1 July 2014

In his Autumn Statement 2012, the Chancellor announced that, in light of the national economic situation, certain working-age benefits and tax credits would be up-rated by 1 per cent rather than by the September 2012 CPI figure of 2.2 per cent. Some benefit rates were frozen for 2013/14 and 1 per cent uprating was applied in April 2014. These same benefits and tax credits will also be uprated by 1 per cent in 2015/16.

A cap on the amount of benefit that people could receive began to be rolled out from April 2013, but its implementation was not complete until later on in 2013. The benefit cap restricts the amount that claimants may receive in benefits to GBP 500 per week (for couples and people with children); or GBP 350 per week (for single people). Certain groups are excluded from the benefit cap – including those claiming disability benefits or working sufficient hours to be entitled to Working Tax Credit.

Plans to increase the number of waiting days from three days to seven days in Jobseeker's Allowance and Employment and Support Allowance had been previously announced, but were not implemented until 27 October 2014.

From 1 July 2014, new rules mean that all nationals who come to the UK (including those returning after a period abroad of more than 52 weeks) and who are not working or actively seeking work will need to be living in the UK for three months before they are entitled to Child Benefit or Child Tax Credit.

12.2 Future policy changes announced since 1 July 2014

A person who has previously claimed Employment and Support Allowance (ESA) but been found fit for work, will not be entitled to ESA if they then make a subsequent claim (unless they can demonstrate that there has been a change in their condition or a new condition has developed). Currently, after six months a claimant previously found fit for work can reclaim ESA irrespective of whether their circumstances have changed. This change will be implemented for new claims from April 2015. The period of time that a claimant may remain on Jobseeker's Allowance while sick and without having to move to ESA, will also be extended.

Entitlement to Jobseeker's Allowance (JSA) for European Economic Area (EEA) migrants had already been restricted to six months unless they passed a Genuine Prospect of Work assessment. It has subsequently been announced that EEA migrants' access to JSA will be limited to three months, subject to the same assessment. In addition, a Genuine Prospect of Work assessment will be applied to EEA migrants who have been claiming JSA since before 1 January 2014. This assessment is already in place for EEA migrants who have been claiming JSA since 1 January 2014.

In his Autumn Statement 2014, the Chancellor announced that the following new self-employment rules will be introduced:

- Self-employed claimants with earnings below 24 hours x the National Minimum Wage per week who are using their self-employment to meet the work test will be required to provide evidence to HMRC that the work they are undertaking is genuine and effective rather than marginal or ancillary.
- Introducing a requirement to register self-employment with HMRC and provide a Unique Tax Reference number to be able to claim Working Tax Credit.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.